

differentiated itself from rival Café Coffee Day (CCD), the then-undisputed market leader. CCD catered to the masses—young professionals seeking budget-friendly coffees—and Starbucks carved out a niche among the premium crowd.

The strategy worked for a while with plush interiors, global menus and a certain aspirational appeal packing in the crowds. But the equation is beginning to shift.

To be sure, aggressive expansion played a significant role in the red ink that spattered its balance sheet in the last financial year, but changing consumer behaviour too played a role. Footfalls are no longer concentrated at Starbucks's counters alone. Competitors like Blue Tokai and Third Wave Coffee Roasters have brewed their way into public consciousness—and wallets—slicing away at Starbucks' premium market.

Still, price remains Starbucks' Achilles' heel in India's evolving coffee war. No longer are rivals content to play catch-up

They're competing head-on—on quality, price, ambience, and even scale. And while Starbucks continues to enjoy strong brand recall and customer loyalty, a new challenge has emerged: consumer fatigue.

"Today's customer wants novelty," Meena says. "Even if the product is good, they're looking for something fresh and exciting. That's where many legacy brands are struggling."

CRITICAL MASS

With close to 500 outlets in India, Starbucks does have a critical mass of stores in India. Industry experts say that once a brand goes beyond that count, it could start



"Apart from expanding their store footprint, Starbucks' focus on a localised menu and other strategic initiatives could drive growth in the coming quarters"

KRUTTIKA PRABHUDESAI,
RESEARCH ANALYST AT
MIRAE ASSET SHAREKHAN



"Our offerings are also curated in keeping with the evolving palate of consumers... With close to 150 cafés across 11 cities, we are well positioned to cater to the growing demand in the ecosystem"

RAJAT LUTHRA, CEO,
THIRD WAVE COFFEE
ROASTERS

experiencing portfolio saturation. One can open stores on highways, for example, but if there are two or more competitors located nearby, the customer footfalls get divided.

"As a general sentiment, Indian coffee brands are now often rated higher than Starbucks. So, the (Starbucks) brand no longer commands that premium perception. They'll need to innovate—not just with pricing, but also with products," Meena adds.

Now, Pret A Manger, a UK-based coffee house chain, has also entered the market in partnership with Reliance Brands.

With expansion costs mounting and Starbucks operating in the red, the path to profitability appears distant. Kruttika Prabhudesai, research analyst at Mirae Asset Sharekhan, says that reviving Starbucks would be tough because it's facing challenges on multiple fronts. There's no significant demand to boost growth.

Third Wave Coffee, since its inception in 2016, has carved a niche in India's fast-evolving coffee landscape, thanks to its commitment to local sourcing, in-house roasting, and regionally tailored menus. Rajat Luthra, the company's CEO, credits these practices for the brand's distinctive edge, helping it resonate with an increasingly discerning coffee-drinking public.

To turn its balance sheet into a profitable one, Tata Starbucks will need to reassess pricing, improve its menu and perhaps rethink store format. It can't rely on the brand name alone anymore; to stay competitive, it will have to offer more value to customers.

The race for the best coffee experience in India, it would seem, has never been more competitive. **BT**

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